Production Possibility Curve (PPC)

01. Explain with the support of diagram what a production possibility frontier is?
02. List down four assumptions of the production possibility curve.
03. What are the reasons for the increasing opportunity cost in the use of production resources?
04. Draw and explain following phenomena using production possibility frontiers. (assume that they are producing rice and clothes).
    i. The return of a significant number of professionals who had previously left the country.
    ii. Professionals in the country are leaving due to the huge economic downturn.
    iii. Destruction of country's capital resources due to natural disaster.
    iv. The expansion of the road network has enabled the utilization of previously unused rural resources.
    v. Increase quality of education.
    vi. Depletion of non-renewable resources.
    vii. A country's real GDP shrinks by 8%, raising the unemployment rate.
    viii. Prolonged power outages due to the prolonged drought.
    ix. The rice industry is expanding more than the apparel industry.
    x. The use of a new fertilizer for paddy production in an economy that produces only clothes and rice.
05. The following table shows the combinations of rice and clothing that an economy can produce when all available resources are fully utilized with the given technology.

Production combination	Rice (tons)	Clothes (Units)
A	0	150
B	20	140
C	40	125
D	60	105
E	80	70
F	100	0

Plot the rice on X- axis and clothes on Y axis

i. Based on the given information, draw the Production possibility curve and calculate the opportunity cost between the production combinations (A-B, B-C, C-D, D-E and E-F) in that economy.

ii. If the country is currently producing 40 rice tons and 60 clothes units, identify if this point is efficient, inefficient, or unattainable.

iii. Is there any opportunity cost when from producing a combination of 40 rice tons and 60 units of clothes to producing a combination of 60 tons of rice and 80 units of cloths? Give the reason for your answer.